Item 1A. Risk Factors

Microsoft Corporation Form 10-K (Fiscal Year Ended June 30, 2024)\nSection: Item 1A. Risk Factors\n\nCloud Infrastructure and AI Investment Risks: Microsoft is making massive capital expenditures in cloud datacenters, GPUs, and artificial intelligence infrastructure. If customer adoption of Azure AI services grows slower than anticipated, or if energy and chip supply constraints limit datacenter expansion, operating margins may be compressed by higher depreciation expenses.\n\nCybersecurity and Platform Reliability Risks: As a leading cloud provider, Microsoft faces persistent nation-state and criminal cyberattacks. Any significant security breach or service outage across Azure or Microsoft 365 could harm enterprise customer trust and result in regulatory penalties.\n\nCompetition and Antitrust Scrutiny: Intense competition in cloud computing, productivity software, and generative AI, alongside regulatory scrutiny of partnerships and acquisitions (such as Activision Blizzard and OpenAI investments), may restrict strategic flexibility.

Item 7. MD&A - Operating Results

Microsoft Corporation Form 10-K (Fiscal Year Ended June 30, 2024)\nSection: Item 7. Management Discussion and Analysis of Financial Condition\n\nConsolidated Financial Highlights (in billions, except percentages):\n- Fiscal 2024 Total Revenue: $245.12 billion\n- Fiscal 2023 Total Revenue: $211.92 billion\n- Fiscal 2024 Operating Income: $109.43 billion\n- Fiscal 2023 Operating Income: $88.52 billion\n- Fiscal 2024 Net Income: $88.14 billion\n\nCommentary on Revenue and Margins: Total revenue increased 15.67% year-over-year in FY2024, led by Intelligent Cloud revenue growth and Azure AI adoption. Operating income increased 23.62% as cloud scale efficiencies outpaced increased capital expenditure depreciation from AI infrastructure investments.